

GreenThreads – Explicit Statement of Gaps, Absences & Limits

Companion to Section 3 (Verification & Grounding)

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Purpose: to state plainly what the source documents do **not** contain, do **not** support, or do **not** reconcile – so that no gap in this engagement is left implicit.

> **Why this exists.** A gap that a reader has to infer has not been disclosed. Everything below is stated as an absence or a contradiction, not as a caveat. Each item is marked **[DOCUMENT FACT]** where it can be shown from the text or arithmetic, or **[INFERENCE]** where we are reasoning beyond it.

A. Numbers that do not reconcile

These are the most serious findings in this document, and they were not visible until the figures were checked against each other. **The memo's reported figures cannot be reproduced from the invoices provided.**

A1. The memo's General contractor figure cannot be supported. [DOCUMENT FACT]

The memo states General contractor is "committed to date roughly \$33,000." The only General contractor invoice provided is Mile High Millwork at **\$9,575.92**. The difference – approximately **\$23,424** – is unexplained and undocumented. Either invoices are missing from the packet, or the memo's figure includes commitments (POs, contracts) that were never provided to us. **We cannot verify the \$33,000.**

A2. The memo gives no figure at all for Launch event. [DOCUMENT FACT]

The memo reports Launch event spend "appears healthy and on pace." It provides **no dollar amount**. The only invoice coded to that line is the Meta invoice at \$1,712.01 – which, per FIN-02, does not belong there. If that is the whole of it, then Launch event's true spend is **\$0**, and "healthy and on pace" describes a line with no legitimate activity. The memo's language is qualitative and unfalsifiable as written.

A3. "Paid social running low" implies spend that is nowhere evidenced. [DOCUMENT FACT]

The memo says Paid social "spend to date is running low relative to plan," which implies some spend exists. **No invoice coded to Paid social was provided.** The phrase understates the position: the line appears to be at zero, not merely low.

A4. The budget excerpt accounts for only 38% of the stated Denver budget. [DOCUMENT FACT]

The case brief states a total Denver budget of \$450,000. The finance excerpt's five lines total **\$172,300**, leaving **\$277,700** unaccounted for in the materials we were given:

Case brief category	Case brief	Finance excerpt	Unaccounted
Buildout & fixtures	\$150,000	\$78,000 (General contractor)	\$72,000
Opening inventory	\$110,000	\$29,300 (Opening buy)	\$80,700
Marketing & launch	\$85,000	\$45,000 (Launch event + Paid social)	\$40,000
Staffing & recruiting	\$65,000	– absent –	\$65,000
Tech & systems	\$20,000	– absent –	\$20,000
Contingency	\$20,000	\$20,000	\$0 – exact match
Total	\$450,000	\$172,300	\$277,700

The contingency line matching exactly suggests the excerpt derives from the same budget framework, which makes the other gaps harder to dismiss as different accounting. **We are analyzing budget control on roughly a third of the budget.** Any statement that "the opening is tracking within budget" rests on lines we have never seen.

A5. The Opening buy line cannot be reconciled to the stated opening inventory buy. [DOCUMENT FACT]

The case brief states the full opening buy is **\$110,000** at cost. The budget line "Opening buy – catalog SKUs" is **\$29,300**. These are not the same number and nothing explains the relationship.

****A6. The Delta invoice does not correspond to any compliant order. [DOCUMENT FACT]****
Delta Organics supplies the Classic Tee at \$14.25 per unit with a minimum order quantity of 500 – a minimum order value of ****\$7,125****. The invoice is ****\$4,005.01****, which is **below the MOQ value** and equals ****281.05 units**** – not a whole-unit quantity. The invoice is therefore either a partial shipment, a deposit, freight, or something other than a complete SKU order. ****No document says which.**** Any inventory-coverage conclusion drawn from this invoice is unsupported.

B. A timeline problem nobody has addressed

****B1. Buildout was invoiced and paid before the lease existed. [DOCUMENT FACT]****
The Mile High Millwork invoice for "Store fixtures & general contractor labor, ****Suite 120****" is dated ****2026-06-03**** and marked Paid. The lease for Suite 120 is dated ****July 10, 2026**** – roughly five weeks later. The lease further provides that the landlord delivers the premises in tenant-ready condition "on or about ****September 1, 2026****," and that tenant build-out follows delivery.

So: fixtures and contractor labor for a specific suite were invoiced and paid ****before the lease was signed**** and ****three months before the space was to be delivered.**** This may have a legitimate explanation – pre-lease work under a letter of intent, off-site millwork fabrication, a deposit. ****No document provides one.**** As it stands, the documents describe payment for work on premises the company did not yet control.

****B2. FIN-02 has no effective date. [DOCUMENT FACT]****
The policy is marked "Version 1.4" with no effective or revision date. The invoices were coded in early June 2026. ****We cannot confirm the policy version we are auditing against was in force when the coding decisions were made.**** This is a material limitation on the central finding – if v1.4 postdates June, the Meta coding may have complied with the rule then in effect. We apply FIN-02 as the controlling standard because it is the only standard provided, and we state that as an assumption rather than a fact.

C. Records that do not exist in our source set

Stated as absences, not caveats. Each of these is simply ****not present****:

1. ****No approval evidence on any invoice. [DOCUMENT FACT]**** Not one of the three invoices records an approver, an approval date, or an approval level. We flagged the Millwork invoice earlier because it exceeds the \$5,000 CFO threshold – but the accurate statement is broader: ****the approval trail is absent for all three, not weak for one.****
2. ****No purchase orders, receiving records, or three-way match data. [DOCUMENT FACT]**** This directly blocks HW#1 Opportunity #6 (automated invoice matching), which cannot be designed or tested against these materials.
3. ****No complete transaction ledger. [DOCUMENT FACT]**** The packet is labeled "Invoices received (****selection****).\" Three invoices totaling \$15,292.94 are all we have.
4. ****The three finance datasets named in the case brief are not in our materials. [DOCUMENT FACT]**** The case brief assigns Finance `GT\_Finance\_Denver\_Budget.csv`, `GT\_Finance\_Spend\_Transactions.csv`, and `GT\_Finance\_Austin\_Store\_Daily.csv`. ****None is present.**** The assignment instructs us to add our dataset to the source set. Our analysis rests entirely on PDF excerpts. **This is the single most actionable gap – the data exists in the Case Pack on Campuswire and should be retrieved.**
5. ****No chart of accounts or GL account codes. [DOCUMENT FACT]**** FIN-02 governs "budget lines," not accounts. We cannot state how any of this maps to the general ledger.
6. ****No payment dates.**** Invoices show "Status: Paid" with no date paid, no terms, no aging.
7. ****No named approvers or function owners.**** The budget excerpt names owning **departments** (Operations, Marketing, Finance); FIN-02 assigns authority to "the function owner." ****No individual is identified anywhere,**** so approval authority cannot be traced to a person.
8. ****No evidence FIN-02 was distributed or acknowledged.**** Nothing shows the coders had seen the policy.
9. ****No vendor contracts**** for Millwork, Meta, or Delta – no scope, terms, or rates against which the invoices could be tested.
10. ****No record of who coded each invoice,**** so the miscoding cannot be attributed or its

cause diagnosed (training gap vs. system default vs. one-off error).

11. ****No prior-store actuals.**** Seattle, Portland, and Austin opened before Denver. ****No comparative spend data**** was provided, so we cannot benchmark Denver against the company's own history.

12. ****No AI policy.**** Confirmed absent by design – the case brief states GreenThreads has none.

D. Costs in the lease that appear nowhere in the budget

****D1. Occupancy cost is absent from the budget excerpt. [DOCUMENT FACT]****

The lease establishes base rent of ****\$8,400/month**** plus CAM estimated at \$9.50/RSF/yr (****~\$1,900/month****) – roughly ****\$10,300/month**** in occupancy cost. Rent commences on the earlier of opening or ****60 days after the September 1 delivery date****, and "accrues from the Rent Commencement Date regardless of whether Tenant has opened." There is ****no rent or occupancy line in the budget excerpt****, and the case brief's \$450,000 categories do not include one either.

This matters concretely: the lease provides that ****no penalty, offset, rent abatement, or Landlord liability for delayed delivery**** exists. Combined with a build-out that "customarily requires six to eight weeks" after delivery, rent can begin ****before the store opens**** – an unbudgeted cost with no contractual protection.

****D2. The \$60,000 tenant improvement allowance is not reflected anywhere. [DOCUMENT FACT]****
The lease provides a \$60,000 TI allowance, disbursed against submitted invoices ****only after the tenant opens for business and delivers lien waivers.**** This is a material offset to buildout cost and a timing consideration for cash. ****It appears in no budget line and in no spend memo.****

****D3. The security deposit is unbudgeted. [DOCUMENT FACT]**** \$16,800 was due on execution. It appears nowhere in the finance materials.

****D4. Signage rights do not exist yet. [DOCUMENT FACT]**** The lease grants no signage rights absent a separate rider "to be negotiated in good faith." A store opening in 90 days has ****no contractual right to exterior signage**** and no budget line for it.

E. What we can now resolve – and what we cannot

****E1. The square-footage discrepancy is resolvable, in the lease's favor. [DOCUMENT FACT]****
We previously flagged this as unresolvable. It is not. The lease's internal arithmetic confirms itself twice:

- $2,400 \text{ RSF} \times \$42.00/\text{RSF}/\text{yr} = \$100,800/\text{yr} = \textbf{**exactly } \$8,400/\text{month**}$, the figure the lease states.

- $\$25.00/\text{RSF} \times 2,400 \text{ RSF} = \textbf{**exactly } \$60,000\textbf{**}$, the TI allowance the lease states.

Two independent calculations in the lease are consistent with 2,400 RSF. The lease is internally coherent; the case brief's 3,200 sq ft is the outlier. ****We treat 2,400 RSF as the reliable figure**** and recommend the case brief's number be corrected – noting that a 33% error in store size would distort any per-square-foot cost, sales-per-square-foot target, or staffing-density assumption built on it.

****E2. What remains genuinely unresolvable from these documents:****

- Whether CFO approval was obtained on any invoice.
- Whether the memo's \$33,000 GC figure is correct.
- Whether FIN-02 v1.4 was in force in June 2026.
- Why buildout was paid before the lease was signed.
- What the \$29,300 Opening buy line actually covers.
- Whether the invoice packet is representative or selectively chosen.

F. Where our own analysis is weaker than it first appears

Stated plainly, because the assignment holds us accountable for accuracy rather than confidence:

1. ****Our central finding is an interpretation, not a document statement.**** The invoice records where the spend was booked. That it **should move** follows from applying FIN-02 – and FIN-02's effective date is unconfirmed (B2). The finding is well-supported and independently corroborated, but it is a judgment applied to a record, not a fact read off one.
2. ****The Delta classification is more uncertain than our verdict implies.**** We retained "correctly coded," reasoning that "Opening buy – catalog SKUs" is the Inventory line. But the case brief uses "catalog SKUs" specifically to describe ****the four SKUs *not* in the Denver launch**** (marked ``In_Denver_Launch = N``). Delta supplies the Classic Tee, which ****is**** a Denver launch SKU. Read that way, Gemini's objection gains force: an opening-assortment invoice may not belong on a line named for catalog SKUs. ****We cannot resolve this from the documents**** – the line name is ambiguous and no chart of accounts defines it. Our verdict should be presented as a genuinely contested call, not a settled one.
3. ****"No line is over budget" is a statement about three invoices.**** With \$277,700 of the budget unexamined (A4) and an incomplete ledger (C3), we can say that **nothing we were shown** breaches a cap. We cannot say the opening is within budget, and neither, on this evidence, can the memo.
4. ****The external benchmark proves the category, not the line.**** ASC 720-35 and the supporting sources establish that paid media is advertising expense rather than a capitalizable pre-opening cost. Only FIN-02 gets us to **Paid social** specifically.

G. What this changes about the recommendation

The Meta miscoding remains real, verified three ways, and worth correcting. ****But it is no longer the largest finding in this engagement.**** Stated in order of materiality:

1. ****The memo's figures do not reconcile to the supporting documents**** (A1-A3). A \$23,424 unexplained variance on one line, and no figure at all on another, is a more serious reporting-integrity problem than a single \$1,712.01 miscoding. The memo is the artifact leadership actually reads.
2. ****\$277,700 of the budget is unexamined**** (A4). Any assurance about budget health is scoped to 38% of the budget.
3. ****Approval trails are absent across the board**** (C1). Not one invoice evidences approval at any level.
4. ****Buildout was paid before the lease was signed**** (B1). This needs an explanation before anything else in the buildout line can be relied on.
5. ****Unbudgeted occupancy cost with no delay protection**** (D1). Rent can start before revenue does, and the lease provides no remedy.
6. ****The Meta miscoding**** (verified, and still the cleanest single correction available).

****The honest framing for the brief:**** we were asked whether the invoices are correctly coded, and we can answer that. We cannot answer whether Denver is on budget – and the more useful finding for a CFO is that ****the reporting she is currently receiving cannot be reconciled to its own supporting documents.**** The first request to make of the client is not a recoding. It is the complete spend ledger, the approval records, and the missing datasets.